

Economics of Information

- IT-250: Digital Economy
- Unit 5 – Lecture 1

Why This Topic Exists

- People make decisions every day
- Decisions need information
- Bad information → bad decisions
- Economics studies how information affects markets

What Is Information?

- Information = Knowledge that helps us decide
- Prices of products
- Quality of services
- Risk involved
- Opinions of others

Daily Life Example

- You want to buy a mobile phone 
- - Phone A: cheap
- - Phone B: expensive
- If you know battery, camera, reviews → smart choice
- Knowledge = information

Information in Economics

- Influences consumer & firm behavior
- Affects prices & market efficiency
- Lack of information → market failure
- Markets assume perfect info (rare in reality)

Perfect Information (Ideal World)

- Buyers know all prices
- Sellers know customer needs
- No cheating
- Fair competition

Real World = Imperfect Information

- Some people know more than others
- Information costs money & time
- Can create economic problems

Information as an Economic Good

- Valuable & costly to produce
- Easy to share digitally
- Examples: research report, software, online tutorial

Why Information Is Special

- | Physical Goods | Information |
- |-----|-----|
- | Gets used up | Can be reused |
- | One user | Many users |
- | Hard to copy | Easy to copy

Another Story: Sharing a Secret 🤫

- Tell a secret to one friend → still remember it
- Tell 10 friends → still remember it
- Information doesn't disappear → powerful

Symmetric Information

- Both sides know the same
- Examples: menu with prices, public bus fare, exam syllabus
- ✓ Fair & transparent

Asymmetric Information

- One side knows more
 - Examples: seller knows defects, buyer does not
 - Employer doesn't know true skills
- ! Causes unfairness

Story: Used Bike Market 🚲

- Seller knows engine problem
- Buyer trusts seller
- Buyer pays high price
- Bike breaks

 Buyer loss,  Seller gain → asymmetric info

Why Asymmetric Information Is Dangerous

- Cheating becomes common
- Trust decreases
- Good products leave market
- Market may collapse → market failure

Nepal Example: Online Shopping

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- Buyer sees photo & description
- Seller knows true quality
- Fake info → buyer suffers, trust decreases

How Internet Helps

- Reduces search cost
- Increases transparency
- Provides reviews & ratings

Examples: Google, Daraz, YouTube

Example: Daraz Scenario

- Check price, rating, comments before ordering
- Reduces risk & improves decisions

Digital Info Isn't Always Perfect

- Fake reviews
- Paid promotions
- Misleading ads
- Quality of information matters

Determinants of Information Quality

- Availability
- Accuracy
- Cost
- Technology
- Regulation

Nepal Digital Reality NP

- Internet growing fast
- Mobile usage high
- Digital literacy uneven
- Some understand online info, others get confused or cheated

Example: Facebook Scam

- Fake job offers
- Fake prizes
- People lose money

Reason: asymmetric information + low digital awareness

Impact on Consumers

- Better info → better choices
- Poor info → losses
- Reviews reduce risk
- 📌 Information empowers consumers

Impact on Businesses

- Honest info builds trust
- Dishonest info kills brand
- Data becomes competitive advantage

Example: Analytics & AI

Market Failure Scenario

- Cheating increases → trust decreases
- Good sellers exit
- Market shrinks
-  Economy suffers

Why Students Must Learn This

- You will buy online, work in digital companies, design apps & AI
- Understanding info helps avoid manipulation, build ethical systems, create trust

Key Exam Keywords

- Information economics
- Asymmetric information
- Market failure
- Digitalization
- Search cost
- Transparency

Simple Summary

- Information guides decisions
- Unequal information causes problems
- Digital tools reduce gaps
- Nepal is improving but challenges remain

Discussion Slide

- Have you faced cheating due to lack of info?
- Do online reviews help trust sellers?
- Can AI fully solve info problems?